



There is an upcoming reversal around the corner whenever the asset price has touched either side of the Bollinger bands. As a result, Bollinger bands act as a good leading indicator for upcoming reversals. Bollinger bands give no clear signals or entry and exit points. Thus, we say that Bollinger Bands do not give clear trading signals on their own. We will have to combine them with other indicators. Another problem with Bollinger bands is that when closing price touches one of the bands, it can stay there for a while if the price momentum continues. This is because the bands also adjust as per the direction of the trend. So, as the asset price increases, the band also goes up and as a result, the closing price remains toward either side of the band for a while. We see this playing out in the chart between May to August. The asset price constantly grows along with the Bollinger bands.